

seat at a new all-time high price, such as occurred at the 1929 top. However, any new record is in no way likely to reflect the extent of the stock market's gain since the 1987 high, thus maintaining at least a subtle divergence.

VOLATILITY AND COMPLACENT BUYING

1992 and 1993 set consecutive all-time records for narrowness of range in the S&P Composite. The period from 1991 through today has set an all-time record for the longest time without a 10% correction. Cycles expert Peter Eliades of Santa Rosa, California reports that the five longest periods of the century without a 12% correction were those that preceded the highs in 1937, 1946, 1966 and 1987, and *now*. These previous instances marked tops of Pri-

S&P Annual Ranges from 1928, in order of size					
Year	%Average	Year	%Average	Year	%Average
1993	9.3	1967	19.3	1991	29
1994	9.4	1981	20.2	1955	29.2
1992	11.2	1950	20.4	1970	29.7
1959	12.5	1978	20.7	1962	30.5
1965	12.7	1948	20.8	1946	30.7
1964	13.4	1968	21.1	1975	30.9
1944	13.9	1949	21.4	1958	31.1
1952	14.1	1983	22.1	1982	33.1
1951	14.2	1986	22.1	1934	34.3
1984	14.2	1990	22.1	1940	34.7
1956	14.3	1957	23	1980	35.4
1960	14.4	1961	23.1	1928	35.8
1979	14.6	1943	24.9	1954	36.8
1971	15	1966	24.9	1987	40.3
1988	15.6	1985	25.7	1974	46.4
1972	15.8	1941	25.9	1938	47.5
1953	16	1939	26.1	1935	50.2
1947	16.6	1973	26.4	1930	56.9
1977	16.9	1989	26.6	1929	57.5
1976	17	1942	26.7	1937	59
1969	17.4	1936	27.6	1932	71.6
1963	17.9	1945	28.9	1933	75.2
				1931	80.7